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Chinese Airports | Asia Pacific

Still Waiting for the Turn

We remain cautious on Chinese airports, as elevated fuel costs weigh on traffic growth and duty-free improvements take time. GBIA also faces an uncertain earnings rebound amid capacity expansion in soft macro. Move GBIA to UW; remain EW on SIAC and UW on BCIA.

Air traffic growth under pressure amid energy shock: China's air pax growth has been under pressure since Apr-26 as the global energy shock lifted air ticket prices. We observed a pax shift from air to railway starting Mar-26. Domestic pax growth at SIAC, GBIA and BCIA slowed to 3-4% YoY in Apr-26 from 6-10% YoY in 1Q26. Non-domestic traffic growth also softened to 4-18% YoY in Apr-26 from 7-24% YoY in 1Q26. SIAC underperformed likely due to higher exposure to Japan routes.

Duty-free business still in transition: Although we believe the new duty-free (DF) contracts signed in Dec-25 favor airports, airport DF revenue remained under pressure in 1Q26 due to the rent-free period at SIAC and disruption during the transition between duty-free operators. DF rent at SIAC fell to Rmb176mn in 1Q26, down 49% YoY. BCIA also saw a decline in per-pax DF spending in 1Q26. That said, we believe per-pax DF spending at Chinese airports has largely bottomed. Over the medium to long term, spending could improve as new product categories are introduced and new operators gradually ramp up.

Uncertain earnings recovery amid capacity expansion in soft macro: The cost-sharing framework between GBIA and its parent has not yet been finalized. We see a possibility that the final profit impact could be greater than under the current transitional arrangement, which involves an asset-use fee of ~Rmb900mn in 2026. Revenue ramp-up is also constrained by: 1) softer travel demand amid elevated fuel costs; and 2) the closure of T1 from May-26 for renovation, which offsets incremental revenue from T3. As a result, we think GBIA's earnings recovery could be slower than previously expected.

Earnings and PT changes: We cut earnings for the three Chinese airports factoring in slower traffic growth, lower DF revenue and higher costs. Our PTs are down ~40% after adjusting outer-year capex (SIAC) and WACC assumptions (GBIA, BCIA).

Move GBIA to UW: GBIA's share price has relatively outperformed among peers YTD2026 (-14ppt vs +0ppt for SSE). However, we expect GBIA's earnings recovery to be slower than expected due to soft traffic growth, T1's closure and potentially greater P&L impact from the still-undetermined cost-sharing arrangement for new capacity. Our 2026-28e earnings for GBIA are 1%, 8% and 20% below consensus, respectively. **Remain EW on SIAC:** We expect SIAC's DF revenue to normalize from 2Q26, as the impact from the rent-free period fades. We believe per pax DF spending has largely bottomed, but a meaningful recovery will likely take time. **Remain UW on BCIA:** We see earnings pressure for BCIA if new flight slots are not added. Its exclusion from Stock Connect could also continue to weigh on valuation.

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HONG KONG/CHINA TRANSPORTATION & INFRASTRUCTURE		
Asia Pacific		
Industry View		**In-Line**

WHAT'S CHANGED		
Guangzhou Baiyun Int'l Airport (600004.SS)	**From**	**To**
Price Target	Rmb10.90	**Rmb6.60**
Rating	Equal-weight	**Underweight**
Shanghai International Airport (600009.SS)	**From**	**To**
Price Target	Rmb35.90	**Rmb21.10**
Beijing Capital Int'l Airport (0694.HK)	**From**	**To**
Price Target	HK$2.40	**HK$1.40**

Chinese Airports: Order of Preference

Exhibit 1: Chinese airports: Order of preference

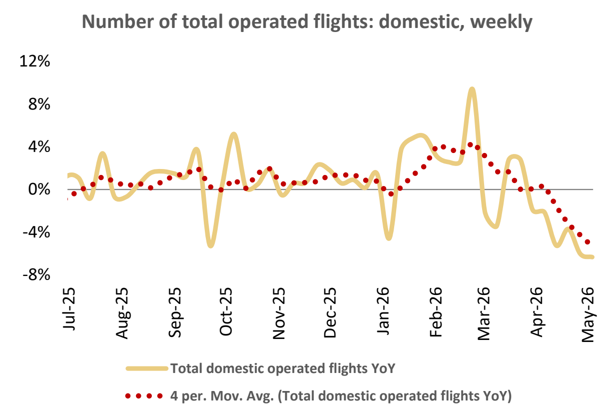
	SIAC 600009.SS	BCIA 0694.HK	GBIA 600004.SS
Rating	Equal-weight	Underweight	Underweight
Trading Currency	CNY	HKD	CNY
Price Target	**21.10**	**1.40**	**6.60**
Current Price	23.72	1.70	8.06
Upside/(Downside) (%)	-11%	-18%	-18%
Market Cap (in USD mm)	8,715.5	993.8	3,067.3
Avg Daily Traded Vol (in USD mm)	54.0	3.3	21.2
Street View: Ratings			
Buy/Overweight	67%	60%	20%
Hold/Equal-weight	11%	40%	60%
Sell/Underweight	22%	0%	20%
Bull Case Value	33.00	2.20	10.50
Upside (%)	39%	29%	30%
Bear Case Value	9.50	1.00	4.20
Downside (%)	-60%	-41%	-48%
Risk/Reward Skew	0.7	0.7	0.6
Morgan Stanley Estimates			
FY26e	CNY	CNY	CNY
Sales	13,814	5,981	8,560
EBITDA	6,804	1,890	2,362
EBIT	3,950	326	840
EPS	1.07	0.01	0.26
FY27e			
Sales	14,792	6,233	9,245
EBITDA	7,619	2,108	2,567
EBIT	4,671	526	988
EPS	1.29	0.04	0.30
FY26 MSe vs. Consensus Mean			
Sales	-3.5%	-1.4%	5.2%
EBITDA	8.3%	0.3%	-5.6%
EBIT	22.2%	-11.4%	2.2%
EPS	-0.8%	-72.0%	-15.4%
FY27 MSe vs. Consensus Mean			
Sales	-2.5%	-2.7%	5.2%
EBITDA	9.8%	-1.8%	-6.6%
EBIT	21.8%	-4.3%	-5.6%
EPS	3.5%	-35.1%	-16.8%

E = Morgan Stanley Research estimates. Source: Factset, Morgan Stanley Research. Share prices are as of the close on June 10, 2026.

Air Traffic Growth Under Pressure Amid Energy Shock

China's air pax growth has been under pressure since Apr-26 as the global energy shock lifted air ticket prices. While China remains comparatively more insulated than Asian peers – benefiting from domestic fuel price caps, strategic reserves and a coal-heavy energy mix – the demand impact has become increasingly visible: China's total air pax grew only 0.4% YoY in April (domestic -0.2%), a dramatic deceleration from 6.5% YoY in 1Q26. In contrast, China's railway pax growth accelerated to 10.5% in Apr-26 from 5.5% in 1Q26, reflecting pax shift from air to railway, we think. During Labor Day holiday, air pax traffic dropped 5.7% YoY vs. +11.8% YoY during the same holiday in 2025, while railway pax was up 4.6% YoY. China's domestic operated flights and non-domestic capacity both trended down from Mar-26. Non-domestic flight frequency growth YoY even turned negative from May-26.

Exhibit 2: Domestic-operated flights

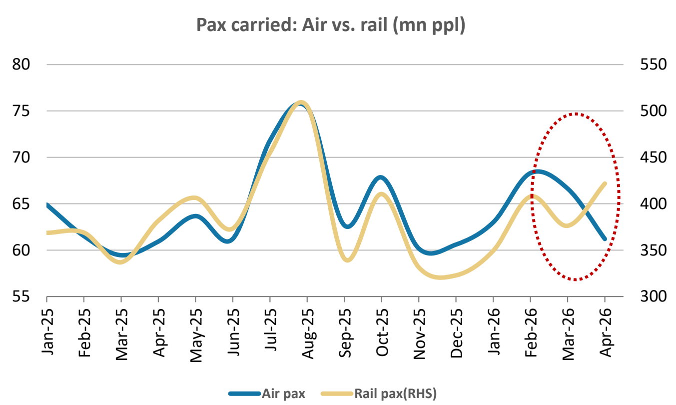


Source: CEIC, Morgan Stanley Research

Exhibit 3: China's non-domestic capacity YoY

Source: OAG, Morgan Stanley Research

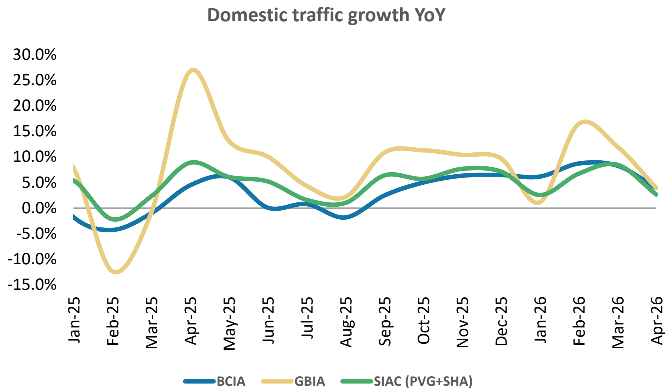
Exhibit 4: Railway is gaining market share vs. air since Mar-26.



Source: CEIC, Morgan Stanley Research

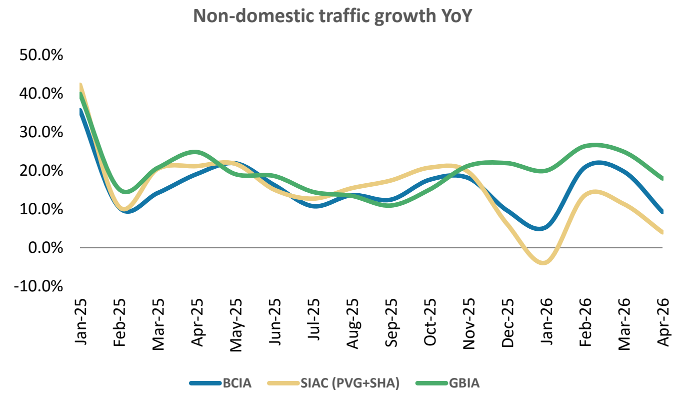
Pax growth at Chinese airports saw similar trend. Domestic air pax growth at SIAC, GBIA and BCIA slowed to 3-4% YoY in Apr-26 from 6-10% YoY in 1Q26. Non-domestic traffic growth also softened to 4-18% YoY in Apr-26 from 7-24% YoY in 1Q26. SIAC underperformed likely due to higher exposure to Japan routes.

Exhibit 5: Domestic air pax growth at SIAC, GBIA and BCIA slowed to 3-4% YoY in Apr-26 from 6-10% YoY in 1Q26



Source: Company data, Morgan Stanley Research

Exhibit 6: Non-domestic traffic growth also softened to 4-18% YoY in Apr-26 from 7-24% YoY in 1Q26



Source: Company data, Morgan Stanley Research

Duty-free business is still in a transition period

Both SIAC and BCIA signed new duty-free contracts in Dec-25. We highlight the following changes, which indicate airports are regaining bargaining power vs. duty-free operators, supported by continual traffic growth.

- **Breaking the monopoly**: Duty-free stores at SIAC and BCIA were previously exclusively operated by CTGDF and its related party. Under the new contracts, both airports have engaged two duty-free operators across different terminals. By leveraging the strength of multiple operators, airports can enrich product categories and improve operating efficiency, which should help boost duty-free spending, in our view.
- **Rewriting the rent formula**: The new rent structure is calculated as fixed rent plus commission rent vs. the previous model of minimum rent or commission rent, whichever was higher. For example, at Pudong Terminal 2, the monthly fee is now Rmb3,090/sqm (fixed) plus an 8-24% commission on sales by category, compared with the previous structure of base rent or 18-36% revenue sharing. This new formula will stabilize airports' revenue and motivate duty-free operators to promote sales, we think.
- **Increasing shareholding in duty-free operators**: SIAC has established JVs with the new duty-free operators, holding a 49% stake vs. effectively 12.5% previously.

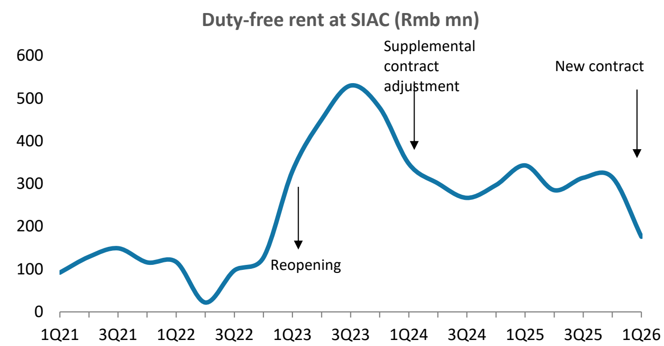
Operators are also encouraged to introduce competitive new product categories and items with gross margins below the maximum commission rate, with a preferential commission applied to such products.

Despite the structurally favorable contract terms, airport duty-free revenue remains under near-term pressure considering: 1) the new contracts only took effect from January 1, 2026 (SIAC) and February 11, 2026 (BCIA). The transition from the previous incumbent to the new operators is ongoing, and new operators require time to build out their product assortment, supply chains, etc. 2) SIAC contracts include a three-month rent-free period during the contract term, which creates a direct near-term drag on airport duty-free revenue. As a result, duty-free rent at SIAC dropped to Rmb176mn in 1Q26, down 49%

YoY. BCIA also saw per pax duty-free spending dropped in 1Q26.

We believe per-pax duty-free spending at Chinese airports has largely bottomed, and we think per pax duty-free spending could improve over the mid- to long-term with new product category expansion and new operators ramping up.

Exhibit 7: Duty-free rent at SIAC dropped 49% YoY in 1Q26 due mainly to rent-free period, we think



Source: Company data, Morgan Stanley Research

Exhibit 8: New duty-free contract at SIAC

	Operator	Fixed rent Rmb/sqm/month	Commission rate	Area Sqm	Fixed rent Rmb mn/year	Contract period
PVG T1+S1	Dufry	3,141	8-24%	8,466	319	3 years from 2026 and can be extended 5 years to 2033. ("3+5")
PVG T2+S2	CTG	3,090	8-24%	9,631	357	5 years from 2026 and can be extended 3 years to 2033. ("5+3")
SHA (Hongqiao)	CTG	2,827	8-22%	2,471	84	5 years from 2026 and can be extended 3 years to 2033. ("5+3")
				Total	**760**	

Source: Company data, Morgan Stanley Research

Uncertain earnings recovery amid new capacity expansion in soft macro

GBIA's T3 and fifth runway were officially put into use on October 30, 2025, with over Rmb50bn upfront capex undertaken by the parent company. The cost-sharing framework between GBIA and the parent is broadly taking shape but has not yet been finalized: the final arrangement is expected to combine base rent, asset acquisition by GBIA and revenue sharing with the parent – a more complex and multi-layered structure than a simple lease.

The current ~Rmb900mn annual asset-use fee for 2026 represents a transitional arrangement before final settlement between GBIA and its parent. We see probability that the final profit impact could be higher than ~Rmb900mn. The current asset use fee represents ~40% of the estimated D&A and financing costs attributable to the Phase 3 assets used by the listed company, according to GBIA, while acquired assets require full D&A recognition. That is to say, the final P&L burden on GBIA should be higher than current level under final arrangement with asset acquisition, unless parent company offers additional discounts on revenue sharing, etc.

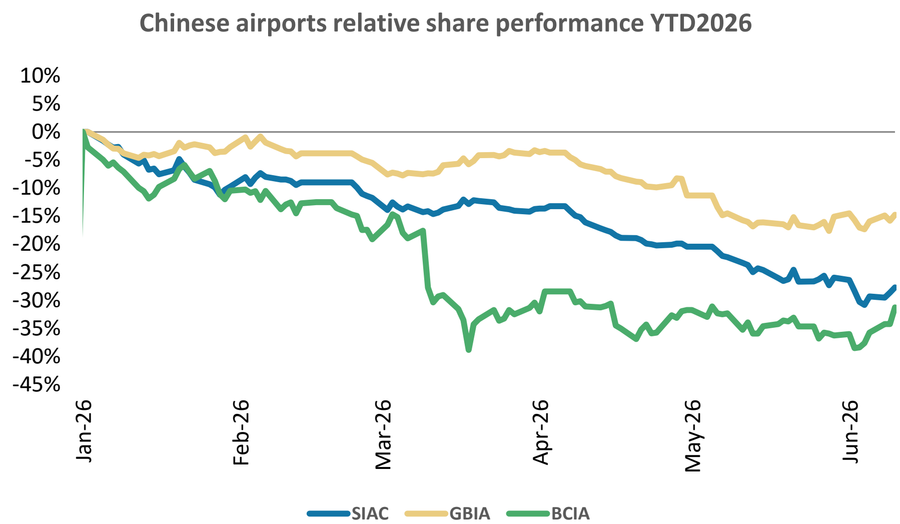
In addition, we do not expect GBIA's revenue to ramp up quickly despite higher peak hour capacity approved (from 83/hour to 93/hour) considering: 1) soft travel demand amid soft macro and elevated fuel costs; 2) T1 ceased operations from May-26 for renovation, which partly offset incremental revenue from T3.

We expect GBIA's earnings recovery could be slower than expected. Our earnings forecasts for 2026-28 are 1%, 8% and 20%, respectively, lower than consensus.

What's in the Price

All Chinese airports under our coverage underperformed respective indexes by 15-30% YTD2026. Exhibit 9

Exhibit 9: Chinese airports under our coverage all underperformed respective indexes YTD2026



Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, Morgan Stanley research. Note: SIAC and GBIA are compared to SSE (+0ppt YTD2026); BCIA is compared to HSI (-5ppt YTD2026); Share prices are as of 10 June, 2026

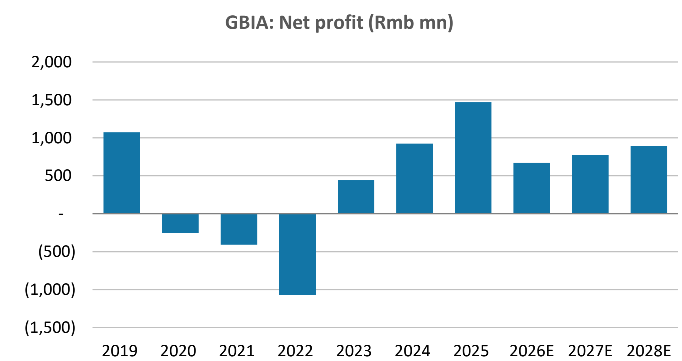
- **GBIA** outperformed peers slightly with 15ppt share price underperformance vs. SSE thus far this year. However, we expect GBIA's earnings to drop 54% YoY in 2026 due to the new terminal and runway launched in Oct-25. We highlight that the cost-sharing framework with the parent company has not yet been finalized, adding uncertainty to GBIA's earnings in 2026 as well as earnings recovery going forward. We expect the combined earnings impact to be higher than previously expected. Our earnings forecasts for 2026-28 are 1%, 8% and 20%, respectively, lower than consensus. **Move to UW.**
- **SIAC** underperformed SSE by 28ppt driven by market disappointment on new duty-free operators' performance, we think. While duty-free revenue at SIAC fell 49% YoY to Rmb176 million in 1Q26, we view this as primarily a mechanical consequence of the three-month rent-free period and expect duty-free revenue to normalize from 2Q26. We think per pax duty-free spending has largely bottomed with limited further downside, but meaningful recovery will take time – the key catalyst to watch is the progressive introduction of new product categories including consumer electronics (smartphones, drones), high-end luxury goods, gold and jewelry as well as domestic Chinese brands and cultural products, all of which are explicitly incentivized under the new concession contracts. SIAC stock is trading at 22x 2026e P/E, below global peers' average of 24x. However, we would not expect SIAC to re-rate until we see meaningful progress on commercial revenue growth. **Remain EW**.
- **BCIA** has underperformed HSI by 31ppt YTD2026 due mainly to getting excluded

from stock connect and slower-than-expected earnings recovery. We see earnings growth pressure for BCIA if new flight slots are not added soon. BCIA stock is trading at 0.5x 2026e P/B, below domestic peers' average of 1.0x considering its slower-than-expected earnings recovery and soft long-term growth outlook considering capacity constraints and traffic dilution from Daxing. **Remain UW.**

Upside risks for all three stocks: 1) Better-than-expected cost control; 2) better-than-expected commercial operations improvements; 3) Better-than-expected traffic growth; 4) favorable policies on consumption, travel, etc; and 5) additional slots approved by CAAC.

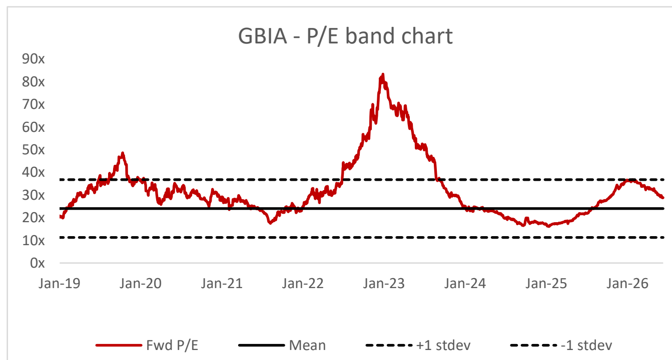
Downside risks for SIAC: 1) Cost overrun; 2) worse-than-expected duty-free spending; 3) slower-than-expected traffic growth amid soft macro.

Exhibit 10: We estimate GBIA's net profit will drop by 54% YoY in 2026



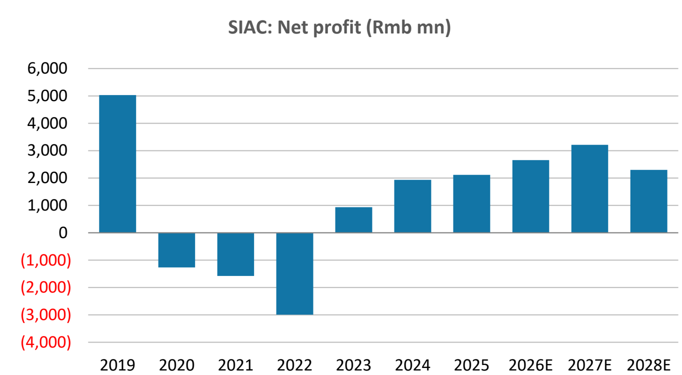
Source: Company data, Morgan Stanley Research

Exhibit 11: GBIA stock is trading at 31x 2026e P/E and 26x 2027e P/E vs. historical average of 24x



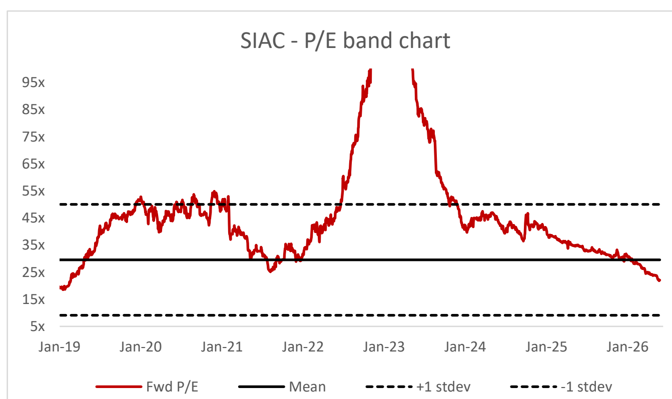
Source: Company data, Morgan Stanley Research

Exhibit 12: We estimate SIAC's net profit will continue to grow by ~20% YoY in 2026-27, before dropping YoY in 2028 due to capacity expansion



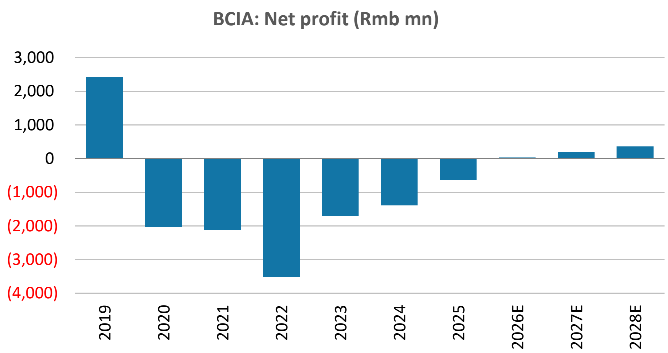
Source: Company data, Morgan Stanley Research

Exhibit 13: SIAC stock is trading at 22x 2026e P/E vs. historical average of 30x since listing



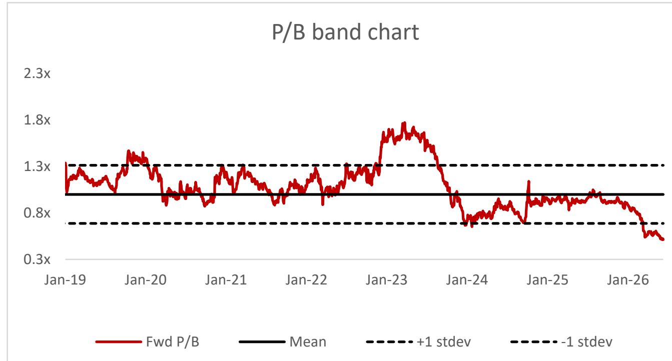
Source: Company data, Morgan Stanley Research

Exhibit 14: We believe BCIA's earnings growth could be slow if additional flight slots are not added soon



Source: Company data, Morgan Stanley Research

Exhibit 15: BCIA stock is trading at 0.5x 2026e P/B, lower vs. historical average of 1.0x since reopening



Source: Company data, Morgan Stanley Research

GBIA: Earnings Forecasts and Price Target Changes

We cut our EPS forecast by 15% both for 2026-27, factoring in higher-than-expected earnings impact from new terminal and capacity as well as the share placement to the parent company. We also introduce our 2028 EPS forecast of Rmb0.35.

We continue to derive our price target on a DCF valuation. We raise our WACC assumption to 10.4% from 9.5%, reflecting a higher equity risk premium of 9.5% vs. 8.5% previously due to undetermined cost-sharing with the parent company on new capacity. Other metrics are unchanged. Our bull-, base- and bear-case weightings move to 10%/60%/30%, respectively, from 15%/70%/15%, as we see a higher probability that the profit impact from the new terminal and runway is likely to be higher than expected. As a result, our base-value is down 34% and our bull- and bear-case values fall by a similar magnitude. Our price target falls 39% to Rmb6.60. We also downgrade our rating to UW on higher combined profit impact from new capacity as well as uncertainties on long-term earnings impact.

Upside risks: 1) Better-than-expected cost arrangement with parent company on new terminal and runway; 2) better-than-expected commercial operations improvements; 3) better-than-expected traffic growth; and 4) favorable policies on consumption, travel, etc.

Exhibit 16: GBIA: Base-case DCF valuation

Year to Dec, Rmb mn		2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Valuation Date	31/Dec/26												
Cash Flow Date		31/Dec/25	31/Dec/26	31/Dec/27	31/Dec/28	31/Dec/29	31/Dec/30	31/Dec/31	30/Dec/32	30/Dec/33	30/Dec/34	30/Dec/35	30/Dec/36
Free Cash Flow to Entity													
EBITDA		3,465	2,546	2,756	2,959	3,104	3,294	3,503	3,730	3,903	4,035	4,102	4,167
Less: Cash Tax Payable on EBIT		(521)	(257)	(295)	(334)	(358)	(392)	(430)	(471)	(499)	(517)	(517)	(517)
Less: Investments in Working Capital		305	(522)	(71)	(100)	(46)	(68)	(74)	(79)	(70)	(61)	(45)	(46)
Less: Capital Expenditure		(1,522)	(1,666)	(1,667)	(1,669)	(1,685)	(1,702)	(1,720)	(1,738)	(1,756)	(1,775)	(1,795)	(1,815)
Adjustments: deducting amortization of ROU		(278)	(295)	(340)	(367)	(396)	(425)	(456)	(488)	(520)	(554)	(589)	(624)
Plus: Proceeds from Asset Sales and Investments		50	50	50	50	50	50	50	50	50	50	50	50
FCF to Entity		**1,499**	**(144)**	**432**	**538**	**668**	**756**	**874**	**1,003**	**1,107**	**1,178**	**1,206**	**1,214**
FCF to Entity, per share			(0.06)	0.18	0.23	0.28	0.32	0.37	0.42	0.47	0.50	0.51	0.51
FCF to Entity Yield on current price			-0.8%	2.3%	2.8%	3.5%	3.9%	4.6%	5.2%	5.8%	6.1%	6.3%	6.3%
WACC	**10.4%**												
Discount factor				0.906	0.820	0.743	0.673	0.610	0.552	0.500	0.453	0.411	0.372
NPV of Free Cash Flow				392	442	497	509	533	554	554	534	495	451
Cumulative NPV of FCF to entity as % of EV				3.8%	4.2%	4.8%	4.9%	5.1%	5.3%	5.3%	5.1%	4.7%	4.3%
DCF Valuation (Rmb mn)													
NPV of Explicit Cash Flow Forecasts	4,960												
Terminal Value	5,485												
Enterprise Value	**10,446**												
Net cash (debt)	5,005												
Adjustments: deducting lease liabilities	1,589												
Minority interest	(339)												
Equity Value	**16,700**												
No. of shares outstanding	2,367												
Per Share Equity Value (Rmb)	**7.10**												

Source: Morgan Stanley Research estimates

Exhibit 17: GBIA: Price target

Rmb	Value - New	Value - Old	Change	Prob.	Prob-wt values
Bull case	10.50	16.00	-34%	10%	1.05
Base case	7.10	10.70	-34%	60%	4.26
Bear case	4.20	6.50	-35%	30%	1.26
Price target				**100%**	**6.60**

Source: Morgan Stanley Research estimates

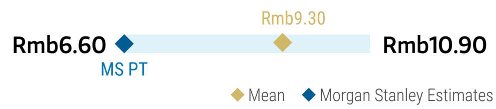
Risk Reward – Guangzhou Baiyun Int'l Airport (600004.SS)

Uncertain earnings recovery amid new capacity expansion in soft macro; UW

PRICE TARGET Rmb6.60

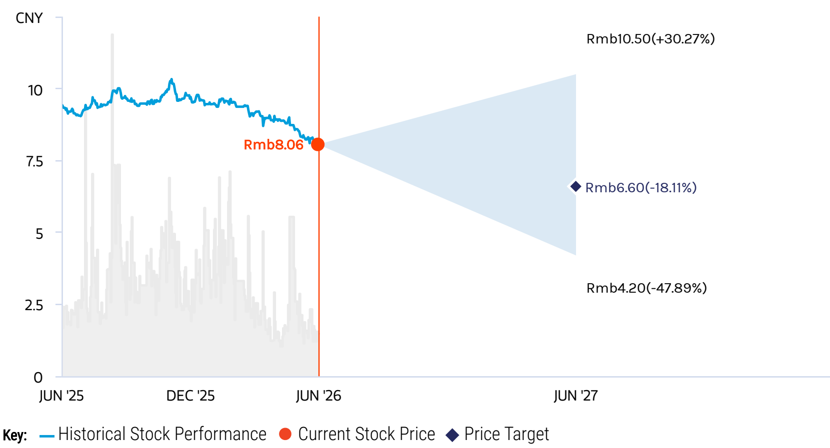
DCF, with 10%, 60% and 30% weightings to our bull, base and bear cases, respectively. Key assumptions: 9.9% WACC and a 2.0% terminal growth rate. We see a higher likelihood for our bear case considering total profit impact from new capacity expansion has not yet been determined and is likely to exceed our previous expectations.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

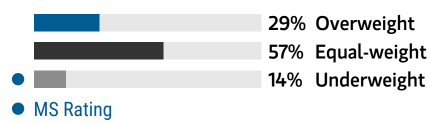


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- New terminal and runway were put into use at end-2025. Total cost, including base rent, asset acquisition and revenue sharing, has not yet been decided, leading to uncertainty on GBIA's earnings.
- We expect the final profit impact is likely to be higher than current transitional arrangement. We also expect GBIA's earnings growth in 2026-28 could be slower than expected, considering 1) softer travel demand amid elevated fuel costs; and 2) the closure of T1 from May-26 for renovation, which offsets incremental revenue from T3.
- Our price target implies 25 x 2026e P/E, higher vs. domestic peers' average considering GBIA's low profit base in 2026.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Negative*
Secular Growth:	*Positive*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb10.50

40x 2026e P/E

Fast per passenger duty-free spending growth thanks to improved store area, unique product mix, more product choices and more attractive pricing. Combined profit impact from new capacity expansion is lower than expected.

BASE CASE Rmb7.10

27x 2026e P/E

Duty-free per pax spending to be largely flat in the medium term. Traffic growth to remain at high-single digits after capacity expansion.

BEAR CASE Rmb4.20

16x 2026e P/E

Traffic growth is lower than in our base case owing to soft travel demand and slot control by the CAAC. Cost overruns arise from salary hikes, unexpected maintenance expenses and capacity expansion.

Risk Reward – Guangzhou Baiyun Int'l Airport (600004.SS)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Passenger traffic growth (%)	9.5	7.9	7.9	NA
International traffic mix (%)	20.9	23.0	24.0	NA
Per pax duty free spendings (Rmb) (Rmb, mn)	74	74	74	NA

INVESTMENT DRIVERS

- Traffic mix improvement
- Per passenger duty-free spending growth
- Operating cost control

GLOBAL REVENUE EXPOSURE

100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected traffic recovery.
- Stronger-than-expected traffic growth thanks to additional slots approved by CAAC.
- Lower-than-expected cost on Phase 3 expansion project.

RISKS TO DOWNSIDE

- Weaker-than-expected traffic recovery.
- Higher-than-expected cost on Phase 3 expansion project.
- Downward adjustment of duty-free contract is earlier than expected.

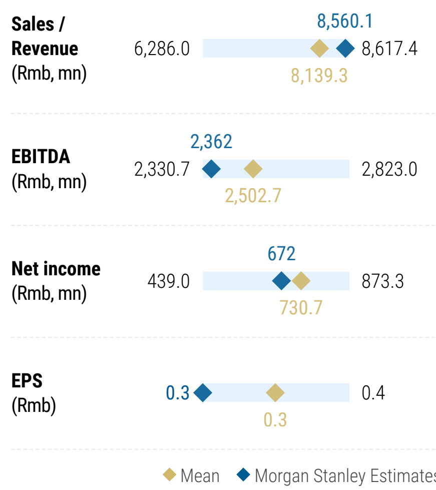
OWNERSHIP POSITIONING

Inst. Owners, % Active 91%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

SIAC: Earnings Forecasts and Price Target Changes

We cut our EPS forecasts by 10% and 9% for 2026-27, respectively, reflecting softer-than-expected traffic growth due to air ticket prices inflation amid fuel cost growth as well as soft duty-free revenue in 1Q26 due to rent-free period. We also introduce our 2028 EPS forecast of Rmb0.92, considering capacity expansion in 2028.

Our base-case value is down 41%, given: 1) earnings changes for 2026-28; 2) slower commercial revenue growth in outer years; and 3) higher capex growth in outer years;. Our bull- and bear-case values decline by similar magnitudes to that in our base case. We continue use a DCF model to derive our base case. Our WACC assumptions and bull-, base- and bear-case weightings are unchanged. Our price target falls 41% to Rmb21.10. Remain EW.

Upside risks: 1) Better-than-expected duty-free spending thanks to faster-than-expected product category expansion; 2) better-than-expected commercial operations improvements; 3) better-than-expected traffic growth; and 4) favorable policies on consumption, travel, etc.

Downside risks: 1) Worse-than-expected duty-free spending as transition period for duty-free operators lasts than longer; 2) soft traffic growth amid soft macro; and 3) softer-than-expected commercial spending.

Exhibit 18: SIAC: Base-case DCF valuation

ar to Dec, Rmb mn		2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Valuation Date	31/Dec/26												
Cash Flow Date		31/Dec/25	31/Dec/26	31/Dec/27	31/Dec/28	31/Dec/29	31/Dec/30	31/Dec/31	31/Dec/32	31/Dec/33	31/Dec/34	31/Dec/35	30/Dec/36
Free Cash Flow to Entity													
EBITDA		6,331	6,810	7,625	6,487	6,792	7,062	7,345	7,653	7,783	7,984	8,195	8,307
Cash Tax Payable on EBIT		(858)	(989)	(1,169)	(859)	(906)	(942)	(980)	(1,025)	(1,025)	(1,043)	(1,065)	(1,062)
Investments in Working Capital		818	(73)	(99)	(74)	(36)	(30)	(29)	(27)	(0)	(19)	(17)	(14)
Capital Expenditure		(1,307)	(1,600)	(1,600)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)
Adjustments: deducting amortization of ROU		(1,154)	(1,181)	(1,271)	(1,361)	(1,450)	(1,540)	(1,629)	(1,719)	(1,809)	(1,898)	(1,988)	(2,078)
FCF to Entity		**3,831**	**2,967**	**3,485**	**2,193**	**2,400**	**2,550**	**2,707**	**2,882**	**2,949**	**3,024**	**3,126**	**3,154**
FCF to Entity, per share		1.54	1.19	1.40	0.88	0.96	1.02	1.09	1.16	1.19	1.22	1.26	1.27
FCF to Entity Yield on current price		0.06	0.05	0.06	0.04	0.04	0.04	0.05	0.05	0.05	0.05	0.05	0.05
WACC	9.0%												
Discount factor				0.92	0.84	0.77	0.71	0.65	0.59	0.55	0.50	0.46	0.42
NPV of Free Cash Flow				**3,196**	**1,844**	**1,851**	**1,803**	**1,755**	**1,713**	**1,608**	**1,512**	**1,433**	**1,326**
Cumulative NPV of FCF to entity as % of EV		0.0%	0.0%	8.6%	5.0%	5.0%	4.8%	4.7%	4.6%	4.3%	4.1%	3.8%	3.6%
DCF Valuation (Rmb mn)													
NPV of Explicit Cash Flow Forecasts	18,042												
Terminal Value	19,202												
Enterprise Value	**37,244**												
Net cash / (debt)	(2,240)												
Adjustments: deducting lease liability	19,487												
Minority Interest	(2,286)												
Equity Value	**52,205**												
No. of shares outstanding	2,488												
Per Share Equity Value (Rmb)	**21.00**												

Source: Morgan Stanley Research estimates

Exhibit 19: SIAC: Price target

Rmb	New Value	Old Value	Change	Prob.	Prob-wt values	Implied 2026 PE
Bull case	33.00	56.00	-41%	15%	4.95	30.9
Base case	21.00	35.70	-41%	70%	14.70	19.7
Bear case	9.50	16.50	-42%	15%	1.43	8.9
Price target				**100%**	**21.10**	**19.8**

Source: Morgan Stanley Research estimates

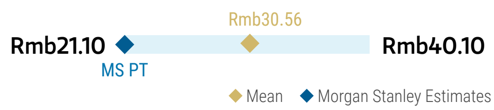
Risk Reward – Shanghai International Airport (600009.SS)

Duty-free Spending Largely Bottomed But Further Improvements Take Time

PRICE TARGET Rmb21.10

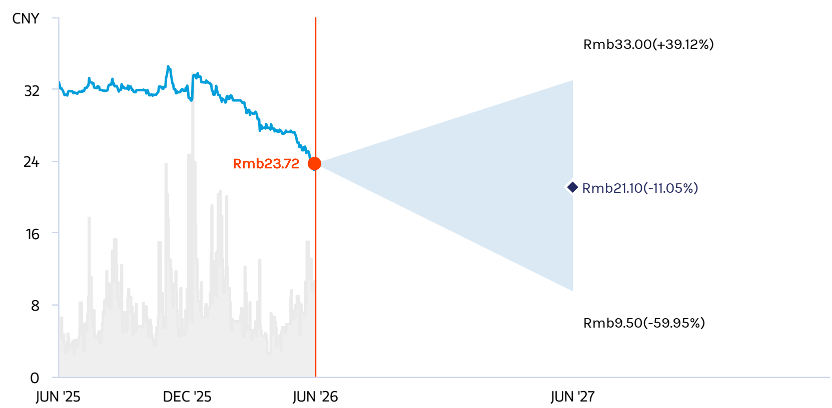
DCF, probability-weighted bull 15%, base 70%, bear 15%. We see equal probability that earnings recovery will be better than expected - supported by traffic growth and other commercial revenue - or worse than expected - with further softening of duty-free business. Key assumptions: 9.0% WACC (1.0x equity beta, 1.8% risk-free rate, 8.0% equity risk premium) and 2% terminal growth rate.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



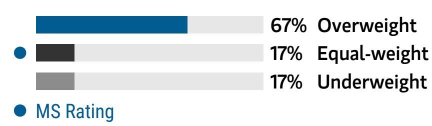
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- SIAC is the premier airport in China with 1.5-2x the total traffic and 2-3x the non-domestic traffic of GBIA and BCIA.
- We think the new duty-free contract indicates SIAC is regaining bargaining power.
- However, it takes time for duty-free spending to further grow despite it has largely bottomed. We could turn more positive with new product categories introduced and a higher percentage of offline DF sales.
- Our PT implies 20x 2026e P/E, lower vs. global peers' average of 24x considering softened commercial revenue growth potential.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb33.00

31x 2026e P/E

International traffic grows faster than expected. Duty-free business is stronger than expected.

BASE CASE Rmb21.00

20x 2026e P/E

International traffic growth to slightly soften in 2026 as elevated air ticket price hurt travel demand. Duty-free business bottoms out with slight improvement.

BEAR CASE Rmb9.50

9x 2026e P/E

Duty-free business is weaker than expected. Consumption pressure weighs on overall travel spending.

Risk Reward – Shanghai International Airport (600009.SS)

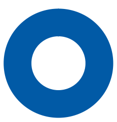
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Passenger traffic growth (%)	11	6	6	6
International traffic mix (%)	45	45	46	47
Per pax duty free spendings (Rmb)	152	137	137	139

INVESTMENT DRIVERS

- Passenger and aircraft traffic growth
- Passenger traffic mix improvement, i.e., higher percentage of international passengers
- Duty-free spending growth

GLOBAL REVENUE EXPOSURE



100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST | 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected international travel recovery
- Better-than-expected per head commercial spending
- Better-than-expected duty-free spending improvement

RISKS TO DOWNSIDE

- Macro headwinds weighing on air demand
- Soft consumption hampering overall commercial spending other than duty-free
- Traffic dilution from third airport in Shanghai

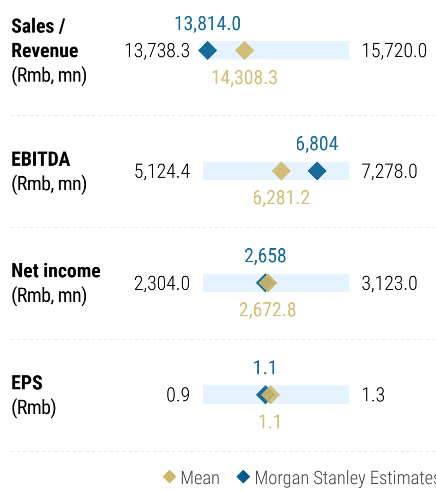
OWNERSHIP POSITIONING

Inst. Owners, % Active 94.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

BCIA: Earnings Forecasts and Price Target Changes

From a low base, we cut our EPS forecasts by 85% and 48%, respectively, for 2026-27, mainly reflecting higher operating costs following 1Q26 results. We also introduce our EPS forecast of Rmb0.08 in 2028.

Our base-case value drops 44% largely in line with our earnings change in 2027. Our bull- and bear-case values decline by similar magnitudes to that in our base case. We continue to derive our base case using a DCF model. Our WACC assumptions rose to 14.3% from 12.8%, reflecting: 1) a higher risk-free rate of 4%; and 2) a higher equity risk premium of 10% as BCIA was excluded from Stock Connect. Our bull-, base- and bear-case weightings are unchanged. Our price target falls 42% from HK$2.40 to HK$1.40. We remain UW on slower-than-expected earnings recovery and long-term growth concerns due to traffic dilution and capacity constraints.

Upside risks: 1) better-than-expected international traffic growth; 2) new flight slots approved by CAAC; 3) better-than expected commercial operations improvements.

Exhibit 20: BCIA: Base-case DCF valuation

Valuation Date	31-Dec-26	31-Dec-25	31-Dec-26	31-Dec-27	31-Dec-28	31-Dec-29	31-Dec-30	31-Dec-31	31-Dec-32	31-Dec-33	31-Dec-34	31-Dec-35	30-Dec-36
Free Cash Flow													
EBITDA		1,401	1,838	2,056	2,271	2,487	2,695	2,918	3,157	3,413	3,688	3,982	4,296
Less: Cash Tax Payable on EBIT		38	(81)	(132)	(181)	(230)	(277)	(327)	(381)	(439)	(503)	(570)	(644)
Plus: Decrease in Working Capital		193	43	(135)	(121)	(120)	(120)	(125)	(130)	(136)	(142)	11	9
Less: Capital Expenditure		(554)	(600)	(600)	(600)	(800)	(800)	(800)	(800)	(800)	(800)	(800)	(800)
Adjustments: deducting amotizatoin of ROU		(226)	(220)	(222)	(225)	(228)	(231)	(234)	(237)	(241)	(244)	(247)	(251)
Plus: Proceeds from Asset Sales		5	-	-	-	-	-	-	-	-	-	-	-
Free Cash Flow		**858**	**980**	**966**	**1,143**	**1,109**	**1,267**	**1,432**	**1,608**	**1,797**	**1,999**	**2,375**	**2,612**
Growth rate (%)	2.0%	(294)	14	(1)	18	(3)	14	13	12	12	11	19	10
Year to Dec		**2,025**	**2,026**	**2,027**	**2,028**	**2,029**	**2,030**	**2,031**	**2,032**	**2,033**	**2,034**	**2,035**	**2,036**
Free Cash Flow for Valuation Purposes		**858**	**980**	**966**	**1,143**	**1,109**	**1,267**	**1,432**	**1,608**	**1,797**	**1,999**	**2,375**	**2,612**
WACC	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%
NPV of Free Cash Flow				846	876	743	744	735	723	707	688	716	689

DCF Valuation (Rmb Mn)	
NPV of Expliciti Cashflow Forecasts	7,466
	5,735
Enterprise Value	13,201
Net Cash / (Debt)	(8,648)
Adjustments: deducting lease liabilitie	523
Market Value of Minority Interests	-
Equity Value	**5,076**
No. of shares outstanding	4,579
Per Share Equity Value (Rmb)	1.11
Per Share Equity Value (HK$)	**1.26**
HKDRMB	**0.88**

Source: Morgan Stanley Research estimates

Exhibit 21: BCIA: Price target

	Value - New	Value - Old	Change	Prob.	Prob-wt
Bull	2.20	3.90 HKD	-44%	15%	0.33
Base	1.26	2.24 HKD	-44%	70%	0.88
Bear	1.00	1.75 HKD	-43%	15%	0.15
				100%	**1.40**

Source: Morgan Stanley Research estimates

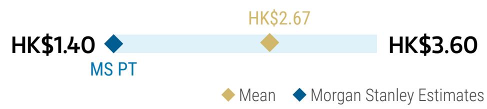
Risk Reward – Beijing Capital Int'l Airport (0694.HK)

Slower Earnings Recovery; Uncertain Long-term Growth Potential

PRICE TARGET HK$1.40

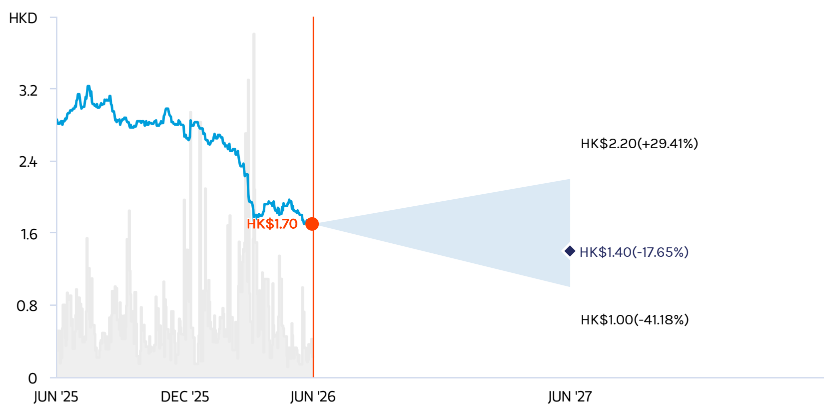
Derived from the weighted average of scenario values by assigning 15%/70%/15% weightings to our bull/base/bear cases. We see equal likelihood for the bull and bear cases, as we think risk-reward looks balanced after renewal of duty-free terms. The base case value is based on DCF valuation, applying a 14.3% WACC and 2% terminal growth rate.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



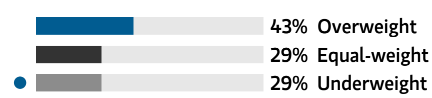
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- BCIA's earnings recovery is slower than expected.
- We see further earnings downside risks considering soft commercial spending and slower traffic growth due to a slower recovery in international routes and traffic dilution from Daxing Airport.
- We also see limited earnings upsides in the long run considering capacity constraints as well as traffic dilution from Daxing.
- Getting removed from stock connect also add on valuation pressure.
- Our price target implies 0.5x 2026e P/B, lower vs. domestic peers' average considering the traffic dilution.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*
Self-help: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$2.20

0.7x 2026e P/B

BCIA gets more flight slots approved by CAAC and international travel grows faster than expected in 2026-28, resulting in stronger-than-expected revenue.

BASE CASE HK$1.26

0.4 2026e P/B

Passenger volume to recover to 83% of 2019 level in 2028E, hampered by traffic transition to Daxing Airport.

BEAR CASE HK$1.00

0.3x 2026e P/B

Weaker-than-expected traffic recovery and duty-free rent negotiation.

Risk Reward – Beijing Capital Int'l Airport (0694.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Passenger traffic growth (%)	5	7	NA	NA
International traffic mix (%)	24	26	NA	NA
Per pax duty free spendings (Rmb)	145	102	NA	NA

INVESTMENT DRIVERS

- Traffic volume dilution from Daxing Airport
- International traffic mix
- Duty-free spending per passenger

GLOBAL REVENUE EXPOSURE

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected international traffic recovery.
- Lower-than-expected traffic dilution from Daxing Airport.
- Better-than-expected duty-free contract.
- New slots approved by CAAC.

RISKS TO DOWNSIDE

- Higher-than-expected operating costs.
- Worse-than-expected duty-free contract.
- Slower-than-expected non-domestic traffic recovery.

OWNERSHIP POSITIONING

Inst. Owners, % Active 51.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	5,853.6	5,980.5	6,065.4	6,238.0
EBITDA (Rmb, mn)	1,626.7	1,890	1,885.1	2,042.8
Net income (Rmb, mn)	9.9	31	86.4	207.8
EPS (Rmb)	0.0	0.0	0.0	0.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary: BCIA

Exhibit 22: BCIA: Financial Summary

Profit and Loss Statements	2024	2025	2026E	2027E	2028E
RMB Mn					
Aeronautical Revenues	2,668	2,770	2,942	3,086	3,219
Non-aeronautical Revenues	2,825	2,861	3,038	3,148	3,287
Lesss: Business tax	0	0	0	0	0
Net Revenues	**5,492**	**5,632**	**5,981**	**6,233**	**6,506**
Depreciation	(1,509)	(1,554)	(1,513)	(1,529)	(1,546)
Cash Operating Costs	(4,347)	(4,230)	(4,142)	(4,178)	(4,235)
Operating Profit	**(365)**	**(153)**	**326**	**526**	**725**
Net Interest Income/(Expenses)	(279)	(264)	(280)	(255)	(230)
Share of Results of Associates	0	0	0	0	0
Other Income/(Expenses)	14	(92)	(9)	(9)	(10)
Pre-tax Profit	**(629)**	**(509)**	**36**	**262**	**485**
Taxation	(760)	(121)	(5)	(65)	(121)
Minority Interest	0	0	0	0	0
Net Profit	**(1,390)**	**(630)**	**31**	**196**	**364**
EBITDA	**1,145**	**1,401**	**1,838**	**2,056**	**2,271**
MW EPS (Rmb)	**(0.29)**	**(0.13)**	**0.02**	**-**	**-**
EPS (Rmb)	**(0.30)**	**(0.14)**	**0.01**	**0.04**	**0.08**

Balance Sheet	2024	2025	2026E	2027E	2028E
RMB Mn					
Net Fixed Assets	23,377	22,755	21,857	20,944	20,015
Construction in Progress	0	0	0	0	0
Intangible Assets	88	61	44	27	10
Others	4,281	3,827	3,827	3,827	3,827
Total Non-current Assets	**27,746**	**26,643**	**25,728**	**24,798**	**23,852**
Cash and Bank Balances	1,428	1,852	4,683	4,681	4,870
Non-cash Assets	1,502	1,519	1,375	1,417	1,463
Total Current Assets	**2,929**	**3,371**	**6,058**	**6,098**	**6,332**
ST Borrowings	7,521	7,277	6,777	6,277	5,777
Other Current Liabilities	5,488	7,977	7,382	6,789	6,213
Total Current Liabilities	13,008	15,254	14,159	13,066	11,990
Net Current Assets	**(10,079)**	**(11,883)**	**(8,101)**	**(6,968)**	**(5,658)**
Total Non-current Liabilities	**3,699**	**1,378**	**4,215**	**4,222**	**4,222**
Minority Interests	0	0	0	0	0
Net Assets	**13,968**	**13,381**	**13,412**	**13,608**	**13,972**
Shareholders Equity	**13,456**	**12,858**	**12,889**	**13,085**	**13,449**

Cash Flow Statement	2024	2025	2026E	2027E	2028E
RMB Mn					
Pre-tax Profit	(629)	(509)	36	262	485
Add: Depreciation and Amortisatio	1,509	1,554	1,514	1,530	1,546
Add: Minority Interest	0	0	0	0	0
Less: Associates' Profits	4	9	0	0	0
Less: Tax Paid	8	0	(5)	(65)	(121)
Other Non-cash Items	(47)	95	0	0	0
Gross Cash Flow	**845**	**1,149**	**1,545**	**1,726**	**1,910**
Capex	(423)	(554)	(600)	(600)	(600)
Change in Working Capital	(1,026)	193	43	(135)	(121)
Sale on Fixed Assets/Investment	0	5	0	0	0
Net Increase in Investment	0	1	0	0	0
Share Issues	0	0	0	0	0
Net Increase in Bank Loans	942	(262)	1,844	(994)	(1,000)
Dividend Paid	0	0	0	0	0
Capital From/Dividend Paid to M.I.	0	0	0	0	0
Others	(193)	(107)	(0)	(0)	0
Change in Net Cash	**146**	**(364)**	**1,844**	**(994)**	**(1,000)**
Beginning Net Cash	**1,281**	**1,427**	**1,063**	**2,907**	**1,913**
Effect of Foreign Exchanges	0	(0)	0	0	0
Ending Net Cash	**1,427**	**1,063**	**2,907**	**1,913**	**913**

Ratio Analysis	2024	2025	2026E	2027E	2028E
Growth (%)					
Aeronautical Rev	27.2	3.8	6.2	4.9	4.3
Non-aeronautical Rev	14.7	1.3	6.2	3.6	4.4
Net Revenues	**20.5**	**2.5**	**6.2**	**4.2**	**4.4**
Operating Profits	(73.1)	(58.1)	NM	61.6	37.8
Pretax Profits	(63.4)	(19.1)	NM	621.6	85.5
Net Profit	**(18.1)**	**(54.7)**	**NM**	**536.7**	**85.5**
EBITDA	486.9	22.4	31.2	11.8	10.5
EPS	(18.1)	(54.7)	NM	536.7	85.5
Margins (%)					
EBITDA Margin	20.8	24.9	30.7	33.0	34.9
Operating Margin	(6.6)	(2.7)	5.4	8.4	11.1
Net Profit Margin	(25.3)	(11.2)	0.5	3.1	5.6
Return (%)					
ROE	(9.8)	(4.8)	0.2	1.5	2.7
ROA	(4.4)	(2.1)	0.1	0.6	1.2
Gearing					
Net Debt/Equity (%)	76	75	67	59	48
Net Interest Coverage (x)	4.1	5.3	6.6	8.1	9.9

Operational Analysis	2024	2025	2026E	2027E	2028E
Pax. Volumes	**67.4**	**70.7**	**75.6**	**78.8**	**82.1**
Domestic (Mn)	52.5	53.5	56.1	56.7	58.4
Regional and Int'l (Mn)	14.9	17.3	19.5	22.1	23.7
Aircraft Movements	**433,572**	**442,046**	**455,307**	**468,967**	**483,036**
Domestic	348,060	343,960	352,863	361,104	369,522
Regional and Int'l	85,512	98,086	102,444	107,862	113,513
Growth (%)					
Pax. Volumes	**27.4**	**5.0**	**6.8**	**4.2**	**4.2**
Domestic Pax.	16.2	1.8	4.9	1.0	3.0
Regional and Int'l Pax.	93.3	16.3	12.8	13.4	7.4
Aircraft Movements	**14.2**	**2.0**	**3.0**	**3.0**	**3.0**
Domestic Routes	0.0	0.0	0.0	0.0	0.0
Regional and Int'l Routes	64.4	14.7	4.4	5.3	5.2

MW Valuation	2024	2025	2026E	2027E	2028E
x					
P/E	NM	NM	81.9	27.3	16.3
P/BV	0.8	0.8	0.5	0.5	0.5
EV/EBITDA	16.3	13.6	6.9	5.7	4.7
Dividend Yield (%)	-	-	-	-	-

Source: Company data, Morgan Stanley Research (E) estimates

Financial Summary: GBIA

Exhibit 23: GBIA: Financial Summary

Income Statement					
RMB Mn	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Aeronautical Revenues	2,952	3,252	3,546	3,731	4,042
Non-aeronautical Revenues	4,471	4,703	5,225	5,743	6,310
Less: Business tax	(163)	(191)	(211)	(228)	(249)
Net Revenues	**7,260**	**7,764**	**8,560**	**9,245**	**10,103**
Cost of Services	(5,416)	(5,941)	(7,108)	(7,597)	(8,104)
Operating Expenses	(127)	(39)	(43)	(46)	(186)
General & Administrative	(432)	(516)	(569)	(614)	(671)
Operating Profit	**1,286**	**1,268**	**840**	**988**	**1,142**
Net Interest Income/(Expenses)	(72)	(52)	(51)	(54)	(52)
Investment income and subsidy	135	131	136	139	143
Net non-operation income	(11)	629	(1)	(1)	(1)
Pre-tax Profit	**1,338**	**1,976**	**925**	**1,073**	**1,232**
Income tax	(373)	(463)	(198)	(234)	(273)
Net Profit before Minority Interest	**966**	**1,514**	**727**	**839**	**959**
Minority interest	(40)	(45)	(55)	(62)	(68)
Net Profit	**926**	**1,468**	**672**	**776**	**891**
EBITDA	3,162	3,465	2,546	2,756	2,959
EPS (Rmb)	**0.39**	**0.57**	**0.26**	**0.30**	**0.35**

Balance Sheet					
RMB Mn	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Net Fixed Assets	17,253	16,479	16,031	15,694	15,410
Construction in Progress	278	689	1,013	1,208	1,325
Intangible and Deferred Assets	428	366	329	301	279
Other non-current assets	2,952	2,528	2,868	3,168	3,445
Total Non-current Assets	**20,912**	**20,061**	**20,242**	**20,371**	**20,459**
Cash and Cash Equivalents	4,731	7,079	6,594	7,072	7,601
Non-cash current Assets	1,355	2,537	2,706	2,850	3,031
Total Current Assets	**6,086**	**9,617**	**9,299**	**9,922**	**10,633**
Total Assets	**26,998**	**29,678**	**29,541**	**30,294**	**31,092**
Current Liabilities	6,191	6,534	6,180	6,254	6,335
Loans or debts	2,215	1,835	2,060	2,236	2,383
Net Working Capital	**(105)**	**3,083**	**3,119**	**3,669**	**4,298**
Total Non-current Liabilities	**2,215**	**1,835**	**2,060**	**2,236**	**2,383**
Minority Interest	245	284	339	402	470
Net Assets	**18,347**	**21,024**	**20,962**	**21,402**	**21,905**
Common stock	2,367	2,577	2,577	2,577	2,577
Additional paid-in capital	9,889	11,260	11,260	11,260	11,260
Surplus reserve	1,007	1,104	1,104	1,104	1,104
Retained earnings	5,084	6,083	6,021	6,461	6,964
Total shareholders' equity	**18,347**	**21,024**	**20,962**	**21,402**	**21,905**

Cash Flow Statement					
RMB Mn	**2024E**	**2025**	**2026E**	**2027E**	**2028E**
Net income before minority interest	966	1,514	727	839	959
Depreciation and Amortization	1,754	1,667	1,571	1,629	1,674
Increase in working capital	705	305	(522)	(72)	(100)
Investment income and disposal	(125)	(510)	(136)	(139)	(143)
Financial expenses	110	99	51	54	52
CF from Operating Activities	**3,410**	**3,075**	**1,691**	**2,311**	**2,442**
Capex	(388)	(737)	(1,666)	(1,667)	(1,669)
Cash for investment	-	(785)	-	-	-
Cash from investment	35	50	-	-	-
CF from Investing Activities	**(353)**	**(1,473)**	**(1,616)**	**(1,617)**	**(1,619)**
Issue of debts	-	-	-	-	-
Other cash received	(684)	1,118	(295)	(340)	(367)
Retirement of debts	-	-	-	-	-
Interests on debts	-	-	469	461	461
Dividends	(176)	(378)	(735)	(336)	(388)
CF from Financing Activities	**(861)**	**740**	**(560)**	**(215)**	**(294)**
Change in Net Cash	**2,197**	**2,342**	**(486)**	**478**	**529**
Beginning Net Cash	2,511	4,708	7,051	6,565	7,044
Ending Net Cash	**4,708**	**7,051**	**6,565**	**7,044**	**7,573**

Ratio Analysis					
	2024	**2025**	**2026E**	**2027E**	**2028E**
Growth					
Aeronautical Rev	18.4%	10.2%	9.1%	5.2%	8.4%
Non-aeronautical Rev	13.5%	5.2%	11.1%	9.9%	9.9%
Total Revenues	**15.7%**	**6.9%**	**10.3%**	**8.0%**	**9.3%**
Operating Profits	**89.2%**	**-1.4%**	**-33.8%**	**17.6%**	**15.5%**
Pretax Profits	97.4%	47.7%	-53.2%	16.0%	14.9%
Net Profit	**109.5%**	**58.6%**	**-54.2%**	**15.6%**	**14.7%**
EBITDA	21.6%	9.6%	-26.5%	8.2%	7.4%
EPS	109.5%	45.6%	-54.2%	15.6%	14.7%
Margins					
EBITDA Margin	42.6%	43.6%	29.0%	29.1%	28.6%
Operating Margin	17.3%	15.9%	9.6%	10.4%	11.0%
Net Profit Margin	12.5%	18.5%	7.7%	8.2%	8.6%
Return					
MW ROE	5.2%	7.5%	3.2%	3.7%	4.1%
ROA	3.5%	5.2%	2.3%	2.6%	2.9%
ROIC	15.0%	15.6%	10.4%	11.2%	11.8%
Gearing					
Net Debt/Equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash
Net Interest Coverage (x)	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Operational Analysis					
	2024	**2025**	**2026E**	**2027E**	**2028E**
Volumes					
Passenger Volumes ('000)	76,369	83,587	90,192	97,304	104,958
Aircraft Movements	511,972	550,512	586,295	624,404	664,991
Cargo and Mail ('000 ton)	2,383	2,437	2,528	2,603	2,682
Growth					
Passenger Volumes	20.9%	9.5%	7.9%	7.9%	7.9%
Aircraft Movements	12.2%	7.5%	6.5%	6.5%	6.5%
Cargo and Mail	17.3%	2.3%	3.7%	3.0%	3.0%

Valuation					
(x)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
P/E	24.5	16.6	30.9	26.4	22.9
P/BV	1.2	1.2	1.0	1.0	0.9
EV/EBITDA	6.4	6.3	6.4	5.6	5.0
Dividend Yield	1.6%	3.0%	1.6%	1.9%	2.2%

Source: Company data, Morgan Stanley Research (E) estimates

Financial Summary: SIAC

Exhibit 24: SIAC: Financial Summary

Income Statement	2024	2025	2026E	2027E	2028E
RMB Mn					
Net Revenues	**12,090**	**13,051**	**13,814**	**14,792**	**15,536**
Operating Costs	(10,403)	(10,432)	(10,680)	(11,024)	(13,051)
Operating Profit	**1,688**	**2,619**	**3,134**	**3,768**	**2,485**
Net Interest Income/(Expenses)	(467)	(420)	(296)	(283)	(262)
Investment income	800	821	816	903	946
Non-operation income/(Expenses)	694	(0)	-	-	-
Pre-tax Profit	**2,715**	**3,020**	**3,654**	**4,388**	**3,169**
Income tax	(490)	(609)	(709)	(871)	(556)
Minority interest	(291)	(294)	(287)	(301)	(316)
Net Profit	**1,934**	**2,117**	**2,658**	**3,216**	**2,297**
EBITDA	5,462	6,331	6,810	7,625	6,487
EPS (Rmb)	**0.78**	**0.85**	**1.07**	**1.29**	**0.92**

Balance Sheet	2024	2025	2026E	2027E	2028E
RMB Mn					
Net Fixed Assets	24,150	23,050	23,134	23,329	23,770
Construction in Progress	1,057	1,434	1,667	1,784	2,042
Intangible Assets	474	484	493	502	509
Long-term equity investments	4,919	4,924	5,283	5,685	6,128
Total Non-current Assets	**30,601**	**29,892**	**30,577**	**31,300**	**32,450**
Cash and Bank Balances	14,853	16,763	17,090	17,583	16,411
Non-cash current Assets	4,997	4,660	4,679	4,725	4,723
Total Current Assets	**19,850**	**21,423**	**21,769**	**22,308**	**21,134**
Current Liabilities	9,434	8,725	8,850	8,986	9,104
Bond Payable	-	-	-	-	-
Other Loans or debts	90	154	154	154	154
Net Working Capital	**10,415**	**12,699**	**12,920**	**13,322**	**12,030**
Total Non-current Liabilities	90	154	154	154	154
Net Assets	**40,926**	**42,436**	**43,343**	**44,468**	**44,326**
Shareholders' equity	41,654	42,540	44,028	45,775	46,296
Minority interest	1,877	1,999	2,286	2,587	2,903
Total equity and minority interest	**43,530**	**44,539**	**46,314**	**48,363**	**49,199**

Cash Flow Statement	2024	2025	2026E	2027E	2028E
RMB Mn	0				
Net income plus minority interest	2,225	2,411	2,945	3,517	2,613
Add: Depreciation and Amortization	2,987	2,980	2,854	2,948	3,050
Less: Increase in working capital	1,081	818	(73)	(99)	(74)
Less: Investment income	(1,468)	(844)	(816)	(903)	(946)
Add: Financial expenses	723	680	637	631	620
Cash Flow from Operating Activities	**5,548**	**6,044**	**5,547**	**6,093**	**5,263**
Capex	(5,208)	(6,795)	(1,600)	(1,600)	(2,000)
Cash from investment	498	679	444	493	501
Disposal of asset and investment	1,791	6,162	(200)	(200)	(200)
Cash Flow from Investing Activities	**(2,919)**	**46**	**(1,356)**	**(1,307)**	**(1,699)**
Issue of debts	7,231	4,014	(7)	-	-
Retirement of debts	(7,200)	(4,707)	-	-	-
Interests on debts	(613)	(1,319)	(637)	(631)	(620)
Cash paid for others (rent for lease)	(1,593)	(1,905)	(2,050)	(2,194)	(2,339)
Dividends	(221)	(255)	(1,169)	(1,468)	(1,777)
Cash Flow from Financing Activities	**(2,397)**	**(4,172)**	**(3,864)**	**(4,294)**	**(4,736)**
Change in Net Cash	**233**	**1,918**	**327**	**493**	**(1,172)**
Effect of exchange and others	5	(8)	-	-	-
Beginning Cash	**14,615**	**14,853**	**16,763**	**17,090**	**17,583**
Ending Cash	**14,853**	**16,763**	**17,090**	**17,583**	**16,411**

Ratio Analysis	2024	2025	2026E	2027E	2028E
Growth					
Net Revenues	**12.0%**	**7.9%**	**5.8%**	**7.1%**	**5.0%**
Operating Costs	6.2%	0.3%	2.4%	3.2%	18.4%
Operating Profit	**67.9%**	**55.2%**	**19.6%**	**20.3%**	**-34.1%**
Pretax Profits	95.6%	11.3%	21.0%	20.1%	-27.8%
Net Profit	107.0%	9.5%	25.6%	21.0%	-28.6%
EBITDA	21.8%	15.9%	7.6%	12.0%	-14.9%
EPS	107.0%	9.5%	25.6%	21.0%	-28.6%
Margins					
EBITDA Margin	45.2%	48.5%	49.3%	51.5%	41.8%
Operating Margin	14.0%	20.1%	22.7%	25.5%	16.0%
Net Profit Margin	16.0%	16.2%	19.2%	21.7%	14.8%
Return					
ROE	4.6%	4.9%	6.0%	6.9%	4.7%
ROA	2.8%	3.0%	3.7%	4.3%	3.0%
Gearing					
Net Debt/Equity	4.2%	5.9%	4.8%	3.2%	4.8%
Net Interest Coverage (x)	8.91	4.80	10.69	12.08	10.46

Operational Analysis	2024	2025	2026E	2027E	2028E
Passenger Volumes	124,732	135,110	142,078	149,443	156,177
Domestic ('000)	89,716	93,750	97,705	101,827	105,112
Regional ('000)	6,696	7,231	7,539	7,862	8,189
International ('000)	28,321	34,130	36,834	39,754	42,876
Aircraft Movements	**792,508**	**830,855**	**855,700**	**883,245**	**906,791**
Domestic	562,049	571,229	581,710	592,444	599,602
Regional	41,524	41,517	40,933	41,209	42,015
International	188,935	218,109	233,057	249,593	265,173
Growth					
Passenger Volumes	**28.6%**	**8.3%**	**5.2%**	**5.2%**	**4.5%**
Domestic Passenger	14.4%	4.5%	4.2%	4.2%	3.2%
Regional Passenger	25.4%	8.0%	4.3%	4.3%	4.2%
International Passenger	114.8%	20.5%	7.9%	7.9%	7.9%
Aircraft Movements	**22.1%**	**5.9%**	**3.0%**	**3.4%**	**3.5%**
Domestic Routes	3.9%	1.6%	1.8%	1.8%	1.2%
Regional Routes	25.4%	8.0%	4.3%	4.3%	4.2%
International Routes	115%	21%	8%	8%	8%

Valuation	2024	2025	2026E	2027E	2028E
(x)					
P/E	43.9	38.5	21.5	17.8	24.9
P/BV	2.0	1.9	1.3	1.3	1.2
EV/EBITDA	16.2	13.6	9.0	8.0	9.6
Dividend Yield %	0.4%	1.2%	2.0%	2.6%	3.1%

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of May 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

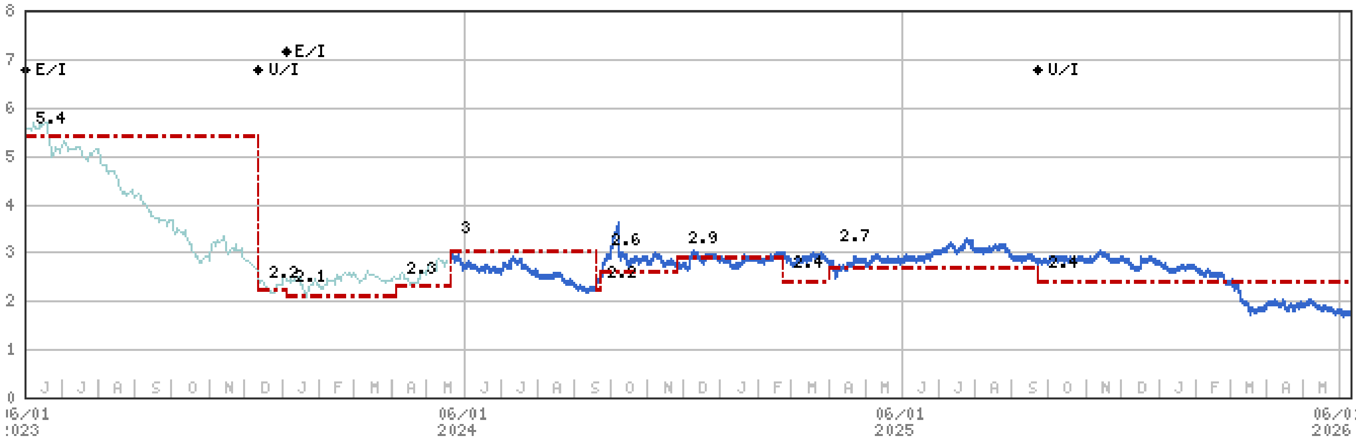
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Beijing Capital Int'l Airport (0694.HK) - As of 06/10/26 GMT in HKD
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 6/1/21 : E/I; 12/13/23 : U/I; 1/4/24 : E/I; 9/23/25 : U/I

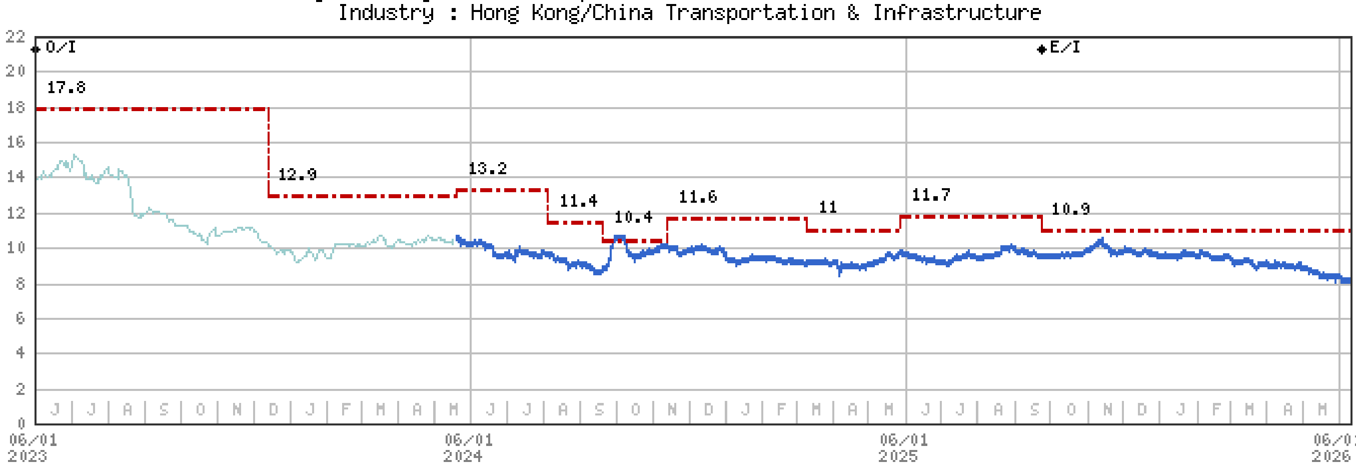
Price Target History: 5/6/21 : 6.1; 8/6/21 : 4.8; 1/5/22 : 5; 5/20/22 : 4.4; 7/28/22 : 4.3; 1/12/23 : 5.4; 12/13/23 : 2.2; 1/4/24 : 2.1; 4/5/24 : 2.3; 5/20/24 : 3; 9/19/24 : 2.2; 9/23/24 : 2.6; 11/25/24 : 2.9; 2/21/25 : 2.4; 4/1/25 : 2.7; 9/23/25 : 2.4

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Guangzhou Baiyun Int'l Airport (600004.SS) - As of 06/10/26 GMT in CNY
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 6/1/21 : O/I; 8/6/21 : E/I; 1/12/23 : O/I; 9/23/25 : E/I

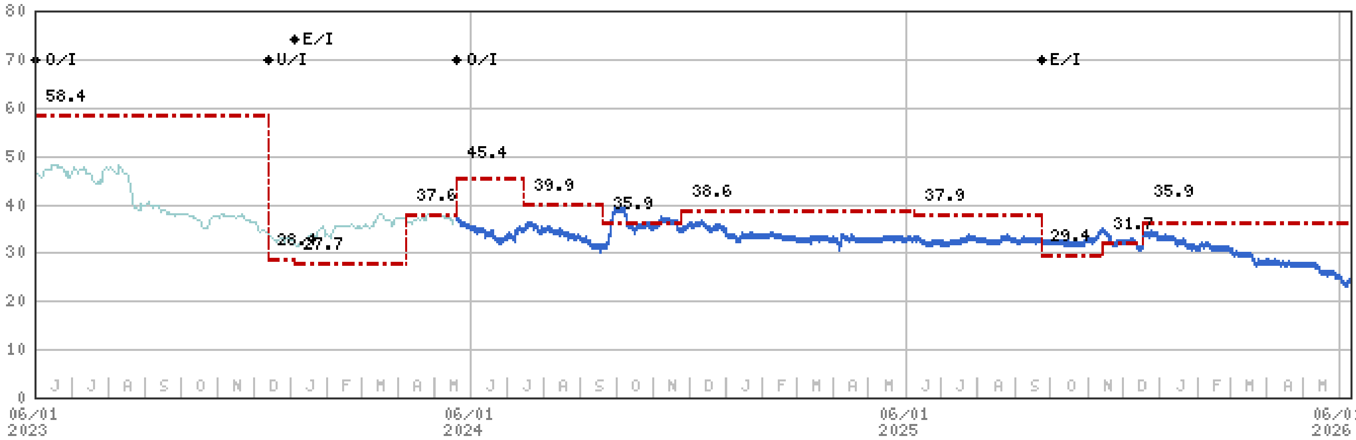
Price Target History: 5/6/21 : 16.3; 8/6/21 : 10; 1/5/22 : 12; 5/20/22 : 11.8; 7/28/22 : 12.3; 1/12/23 : 17; 4/21/23 : 17.8; 12/13/23 : 12.9; 5/20/24 : 13.2; 8/5/24 : 11.4; 9/19/24 : 10.4; 11/13/24 : 11.6; 3/10/25 : 11; 5/28/25 : 11.7; 9/23/25 : 10.9

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Shanghai International Airport (600009.SS) - As of 06/10/26 GMT in CNY
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 6/1/21 : U/I; 1/16/23 : O/I; 12/13/23 : U/I; 1/4/24 : E/I; 5/20/24 : O/I; 9/23/25 : E/I

Price Target History: 5/6/21 : 45.2; 8/6/21 : 36.1; 1/5/22 : 39.5; 5/20/22 : 39.1; 7/28/22 : 39; 1/12/23 : 43.8; 1/16/23 : 70.2; 3/27/23 : 66.9; 5/25/23 : 58.4; 12/13/23 : 28.4; 1/4/24 : 27.7; 4/8/24 : 37.6; 5/20/24 : 45.4; 7/15/24 : 39.9; 9/19/24 : 35.9; 11/25/24 : 38.6; 6/9/25 : 37.9; 9/23/25 : 29.4; 11/14/25 : 31.7; 12/18/25 : 35.9

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Qianlei Fan, CFA		
Air China Limited (601111.SS)	O (02/09/2026)	Rmb6.16
Air China Limited (0753.HK)	O (01/13/2025)	HK$4.31
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb5.02
BOC Aviation (2588.HK)	O (03/21/2022)	HK$73.45
Cathay Pacific Airways (0293.HK)	O (06/10/2026)	HK$11.93
China Eastern Airlines (600115.SS)	O (02/09/2026)	Rmb3.83
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK$3.23
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb14.62
China Southern Airlines (600029.SS)	O (02/09/2026)	Rmb5.11
China Southern Airlines (1055.HK)	O (01/13/2025)	HK$3.50
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK$13.03
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb16.58
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb14.41
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK$13.93
J&T Global Express Ltd (1519.HK)	E (08/21/2024)	HK$8.79
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK$129.90
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK$2.86
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb34.83
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK$33.48
Spring Airlines (601021.SS)	O (08/31/2015)	Rmb45.15
TravelSky Technology (0696.HK)	U (01/13/2025)	HK$8.97
ZTO Express (ZTO.N)	O (11/21/2016)	US$21.94
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK$1.73
Guangzhou Baiyun Int'l Airport (600004.SS)	U (06/10/2026)	Rmb8.11
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK$12.89

Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb23.82
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb14.01
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb17.06
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb6.57

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* Historical prices are not split adjusted.